ZOMUNODA CHIZURA
versus
SIMBARASHE MARIWANDE

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE, 17 & 29 July 2026

Opposed Application

F Mahere, for the applicant
T Mashingaidze, for the respondent

DEMBURE J:

[1] This is an opposed court application for recovery of a debt. The applicant seeks an order for the payment of US$133 363.56 together with costs. This matter came before me following a Supreme Court order dated 16 January 2026 under case number SC 625/25, which set aside the judgment by MHURI J (as she then was) and remitted the matter for a hearing *de novo* before a different judge. The court adopted a rolled-up approach at the hearing; that is, I heard arguments on the preliminary point raised by the respondent and on the merits from the parties' legal practitioners. Thereafter, I reserved judgment *sine die*.

THE FACTS

[2] It is common cause that on 21 May 2014 the applicant disposed of his shares or equity in a Zimbabwean company, Powervision (Private) Limited (*"the company"*), to the respondent, who was his co-shareholder in the company. The applicant's equity in the company was valued at the agreed sum of US$81 224.00 as at 21 May 2014. The respondent proceeded to sign an acknowledgement of debt (*"AOD"*) on the same date. The AOD was signed at Harare, Zimbabwe.

[3] In terms of the AOD, the respondent acknowledged liability to pay the applicant the sum of US$81 224.00. He undertook to pay the debt in 52 equal monthly instalments of US$1 562.00

each, with the first instalment due on or before 31 January 2015 and the last instalment due on 30 April 2019. It was also a term of the AOD that all late payments would attract interest at the rate of 10% per annum. At the time he signed the AOD, both the applicant and the respondent were resident in Zimbabwe. There is no dispute that the applicant later became resident in Nigeria from October 2014. He further became permanently resident in South Africa on 11 December 2018 and was still so resident at the time of the commencement of this suit.

[4] It is also common cause that the respondent breached the AOD as he made the first payment of US$500.00 on 7 September 2014. The applicant averred that between March 2015 and October 2021 the respondent failed to make any payment to reduce his indebtedness. There were email and WhatsApp communications between the parties from 2018 to May 2022 which were attached to the founding affidavit. These emails and the WhatsApp conversations are not disputed. The respondent further made payments into the applicant's South African bank account on 16 October and 30 November 2021. The respondent also made a cash payment of US$5 000.00 on 6 September 2022.

[5] The applicant acknowledged having received the total sum of US$19 356.38 from the respondent. A schedule for the payments he alleged to have received from the respondent towards the liquidation of the debt is further reflected in para 31 of the founding affidavit. From that schedule, the applicant pleads that the total sum due and payable, including interest at 1 September 2024, is the sum of US$133 363.56. The applicant averred that the debt is a foreign obligation and accordingly payable in foreign currency. The applicant seeks an order for the payment of the said sum together with costs as *per* the amended draft order.

[6] The respondent raised three points *in limine*. Firstly, he pleaded a special plea of prescription. Secondly, he pleaded that there was no cause of action that arose for payment in United States Dollars and thirdly, that there were material disputes of fact incapable of resolution on the papers without *viva voce* evidence. On the merits, the respondent argued that the interest rate of 10% per annum stated in the AOD was unlawful for breaching statutory law. While he admitted that he made the payments acknowledged by the applicant, he contended that he made other payments that do not appear in the applicant's computations or schedules. He acknowledged the email communications but stated that these could not be construed as a waiver of his rights in the matter. He further contended that the debt was a domestic obligation, payable

in any of the legal tenders recognised in the country. The respondent also opposed the prayer for costs, stating that he made efforts to resolve the dispute amicably and, therefore, there was no abuse of court process on his part. His prayer was for the application to be dismissed with costs at the punitive scale.

[7] The applicant filed an answering affidavit opposing the points *in limine* and disputing the averments made on the merits in the respondent's opposing affidavit. The record shows that the matter was initially heard before MHURI J (as she then was), who handed down the court's judgment on 22 July 2025. However, following an appeal and cross-appeal, the Supreme Court on 16 January 2026 allowed the appeal and the cross-appeal. The court set aside the judgment by MHURI J and remitted the matter for a hearing *de novo* before a different judge. At the hearing, the respondent only insisted on the point *in limine* of prescription and abandoned the other two points *in limine,* preferring to reserve the argument they raise for the merits of the matter.

I will consider the preliminary point in turn.

THE POINT *IN LIMINE*

THE SPECIAL PLEA OF PRESCRIPTION

[8] The respondent pleaded that the applicant's claim has prescribed and he is precluded from pursuing it. Mr *Mashingaidze* submitted that the debt was supposed to be paid in 52 instalments with the first instalment due on 31 January 2015. Prescription began to run whenever each instalment became due. The law is clear that where a debt is supposed to be paid in instalments, and there is a default, prescription begins to run from the date each instalment becomes due. Counsel cited the cases of *Mawire* v *Rio Zim (Pvt) Ltd* SC 13/21 and *Kingdom Bank Ltd* v *TheRight Investments (Pvt) Ltd & Ors* HH 273/16. It was further argued that between 31 March 2015 and 30 September 2018, the third to ninth instalments became due and there was no interruption. The email only came in 2021.

[9] Counsel further argued that if a payment is made after the instalments had prescribed, it does not revive the debt. Reference was made to the case of *Steward Bank Ltd* v *Calendfar Services (Pvt) Ltd & Ors* HH 142/17 as the authority for that proposition. It was also argued that the same principle would apply to subsequent instalments which were not claimed by the applicant as and when they became due. When the court asked Mr *Mashingaidze* whether the provisions of s 14(3)(b) of the Prescription Act [*Chapter 8:11*] (*"the Act"*) would apply in this

case, counsel initially argued that those provisions do not arise. He, however, later accepted that it would arise, as it may be taken that from the emails and the payments the respondent would have agreed to pay the debt.

[10] Conversely, Mr *Mahere* submitted that he abided by the submissions already placed before the court. He further stated that he had taken note of the concession by counsel for the respondent. It was argued that payments and the emails novated the agreement. Therefore, s 14(3)(b) of the Act kicks in and is applicable. For those reasons, he argued, the point *in limine* ought to be dismissed.

[11] It was further contended that at p 79 in para(s) 49-51 of the respondent's heads of argument, the respondent puts a position before the court that there have been efforts to settle the matter. It was stated that the respondent acknowledges the obligation and that they offered to pay US$53 500.00 in full and final settlement and that the last communication between the parties was in November 2023 when it is stated that the applicant demanded a revised payment exceeding US$96 000.00. I hasten to state that a party cannot plead in the heads of argument. It is trite that heads of argument are not pleadings. Thus, in *Brooker* v *Mudanda & Anor: Pierce* v *Mudanda & Anor* SC 05/18 at p 17, the court remarked that "the purpose of heads of argument is to expound on the law applicable to the facts placed before the court, and one cannot plead through written submissions." In my view, the averments in the heads of argument not pleaded in the respondent's opposing affidavit would be considered improperly before the court and cannot be taken as pleaded averments on which the court can rely. Finally, Mr *Mahere* seeks that the point *in limine* be dismissed.

[12] Mr *Mashingaidze*, in his replying submissions, argued that he did not make any concession. He argued that there was no novation. In his view, if the AOD was novated, the applicant's claim would have been to enforce the new agreement. That is not the applicant's case before the court.

[13] It is trite law that the special plea of prescription is a complete defence. The legal position, as set out in s 14 of the Prescription Act, which is different from English law, is that prescription is not merely a matter of procedural law but of substantive law. In *Coutts & Co* v *Ford & Anor* 1997 (1) ZLR 440 (H) at 443, CHIDYAUSIKU J (as he then was), when interpreting s 14 of the Prescription Act, made the following pertinent remarks:

> "Thus, the clear intention of the legislature as expressed in the above provision [s 14 of the Prescription Act] is to make prescription a matter of substantive law as opposed to procedural law. **The above provision clearly extinguishes the debt as opposed to merely barring the remedy**. The wording of the exception to the provisions, namely subs (3), puts the above interpretation beyond doubt." (*my emphasis*)

[14] In terms of s 15(d) of the Act, the debt *in casu* would prescribe after the expiry of three years. Section 16(1) of the Act is also clear that prescription only commences to run as soon as the debt becomes due. However, in terms of s 16(3), a debt is not deemed to be due "until the creditor becomes aware of the identity of the debtor and of the facts from which the debt arises" and a creditor is "deemed to have become aware of such identity and of such facts if he could have acquired knowledge thereof by exercising reasonable care". The meaning of the term "debt" under s 2 is synonymous with "cause of action" as it relates to "anything which may be sued for or claimed". BHUNU JA in *John Conradie Trust* v *Federation of Kushanda Preschools Trust & Ors* SC 12/17 at pp 4-5, thus outlined the law as follows:

> "…A perusal of the Prescription Act shows that nowhere does it prohibit or exclude third parties from raising prescription as a defence. What prescribes is the debt and not any of the parties concerned. It is therefore open to third parties to raise the defence of prescription in appropriate cases once prescription has run its course.
> As we have already seen above, the circumstances under which prescription may be raised as a defence are clearly spelt out under s 15(d) of the Prescription Act, which provides that a debt, except where statute provides otherwise, shall prescribe after 3 years. Section 2 of the Act goes on to define a debt as:
>
> '2(1) In this Act – 'debt', without limiting the meaning of the term, includes anything which may be sued for or claimed by reason of an obligation arising from statute, contract, delict or otherwise.'
>
> The phrase "anything which may be sued for" gives the term 'debt' a very wide meaning, synonymous with cause of action, as observed by GREENLAND J in *Denton v Director of Customs & Excise* 1989 (3) ZLR 41 at 48. In that case the learned judge had occasion to remark that:
>
> 'Note that the word "debt" used in this Act (Prescription Act) and the words "cause thereof" used in s 178 (4) of the Customs and Excise Act mean the same thing. This is because of the wide meaning of "debt" set out in the former.'"

[15] In light of the foregoing, the law is settled that prescription begins to run when the cause of action arises or crystallises. The court must, therefore, first determine when the cause of action arose. What constitutes a "cause of action" is a matter of settled law. In *Mukahlera* v *Clerk of Parliament & Ors* 2005 (2) ZLR 365 (H) at 368H-369B, PATEL J (as he then was) restated the law as follows:

> "The "cause of action" in relation to a claim is "the entire set of facts which gives rise to an enforceable claim and includes every fact which is material to be proved to entitle a plaintiff to succeed in his claim" (*per* WATERMEYER J in *Abrahamse & Sons* v *SA Railways and Harbours* 1933 CPD 626 at 637).
> Similarly, in *Patel* v *Controller of Customs & Excise* 1982 (2) ZLR 82 (H) at 86, GUBBAY J (citing *Controller of Customs* v *Guiffre* 1971 (1) RLR 91 (G) 1971 (2) SA 81 (R) at 84A, and *Read* v *Brown* (l888) 22 QBD 131) defined the cause of action as being "every fact which it would be necessary for the plaintiff to prove if traversed, in order to support his right to the judgement of the court".
>
> Again, SMITH J, in *Dube* v *Banana* 1998 (2) ZLR 92 (H) at 95, observed that "the cause of action means the combination of facts that are material for the plaintiff to prove in order to succeed in his action". See also *Peebles* v *Dairiboard Zimbabwe (Pvt) Ltd* 1999 (1) ZLR 41 (H) at 45."

[16] In this case, it is clear that the applicant's cause of action is founded on the AOD signed by the respondent on 21 May 2014. While Mr *Mahere* sought to argue that that agreement was novated by the subsequent acknowledgements of debt or agreements providing new payment plans, the applicant's case is not pleaded on any novation. If it was, the applicant would simply have founded it on the new agreement, as the 2014 AOD or agreement would have been replaced by that new one. It is trite that a novation involves replacing an old contract with a new one. Once a novation takes place, the other party would only enforce the new agreement, as the old one is discharged. See *Chiswa* v *Car Rental Services (Pvt) Ltd & Anor* SC 74/20, where the court stated that:

> "In *Mupotola* v *Southern African Development Community* SC 7/06 ZIYAMBI JA made the following pertinent remarks regarding novation on p 5 of the judgment:
> 'Novation means replacing an existing obligation by a new one, the existing obligation being thereby discharged. See *The Law of Contract in South Africa* Third Ed by R.H Christie at p498.
>
> The above definition presupposes that both the existing obligation and the new one arise out of valid contracts. "**When parties novate they intend to replace a valid contract by another valid contract**." See *Swadif (Pvt) Ltd* v *Dyke* 1978 (1) SA 928 (A) at 940 quoted by Christie in the *Law of Contract in South Africa*, *supra*." (*my emphasis*)

[17] The applicant's case is, therefore, that the respondent signed an AOD on 21 May 2014 which created the obligation to pay the debt being sought to be recovered. In terms of clause 2 of that AOD, the respondent was liable to pay the debt of US$81 224.00 in 52 monthly instalments of US$1 562.00, with the first instalment due on 31 January 2015. The last instalment was payable on or before 30 April 2019. The debt was indeed continuous, with an obligation to pay arising at the end of each month until the full amount was paid. The law is settled that in such a

case, each instalment due and unpaid would constitute a cause of action and prescription would start to run as each instalment becomes due. The creditor does not have to wait for all the instalments to become due to file a claim. This position was aptly set out by the Supreme Court in *Mawire* v *Rio Zim (Pvt) Ltd* (*supra*) at pp 8-9, which related to non-payment of locality allowance payable every month and leave bonus due each year, and while upholding that the appellant's claims had prescribed, held that:

> "In light of that, *in casu* **a new cause of action would have arisen every month when the respondent failed to pay the appellant's locality allowance and every year when it failed to pay the leave bonus**. Whenever an arrear of locality allowance accumulated, that would have constituted an entire set of facts which could give rise to a cause of action and which would have entitled the appellant to successfully file a claim against the respondent. Thus, the appellant would have had a legitimate cause to raise a complaint with the Labour Officer each time the allowances were not paid in terms of the contract and each time when the annual bonus was not paid in terms of the contract. **Each non-payment on its own would be enough to constitute a cause of action which entitled the appellant to file a claim**." (*my emphasis*)

See also *Kingdom Bank Ltd* v *TheRight Investments (Pvt) Ltd & Ors* (*supra*) at p 14.

[18] There is no doubt that legally each instalment due would constitute a debt and prescription would start to run every month each instalment that is due remains unpaid. In terms of the AOD, the first instalment was due on 31 January 2015. Clause 4 of the AOD provided that the full amount owing, inclusive of any interest, shall be paid on or before 30 April 2019. Mr *Mashingaidze* argued that there was no interruption of the running of prescription. It is, however, clear that the applicant, in his answering affidavit and submissions, referred the court to the further acknowledgements of liability made by the respondent, in particular to the emails attached to the founding affidavit dated 12 November 2018 and 27 April 2021. In the email dated 12 November 2018, which is admitted, the respondent said:

> "I acknowledge receipt of your letter and deeply regret that it had to get to this point. When I met you in Accra I had a clear plan to settle the funds owing, sadly, things took a turn for the worst and I could not meet my obligations. I fully appreciate how you feel however, **please note that I have every intention to repay you**. …**I am preparing myself to pay at least $20000 by the end of the year** and then hope you will accept a payment plan starting from the new year." (*my emphasis*)

[19] It is clear that in the above email the respondent acknowledged liability and undertook to pay the debt. This acknowledgement came when all the instalments had not yet become due. In terms of s 18(1) of the Prescription Act, an acknowledgement of liability by a debtor interrupts

the running of prescription. To that end, prescription commenced to run afresh from that date. See s 18(2) of the Act. Accordingly, at that stage it cannot be said that the applicant's entire debt had prescribed. Again, when the respondent made another acknowledgement of liability on 27 April 2021, the three years had also not lapsed from the last acknowledgement. In the email of 27 April 2021, the respondent wrote:

> "**I am aware of the debt**.
> You will recall in 2019 I asked for an account where we set up [a] debit order and send money and 2 payments bounced backed only to realize that you had given us a USD account.
> You will realize that 90% of our clients are corporates and can only pay in ZWL. The idea was that whatever payment is made in then converted at the prevailing rate at time of receipt. We still want to go this route. We do however have access to the auction floor forex such that **if you have anything that you want to import and it can be under Powervision we can pay for you**, Please **can I have your number so that I can call and we discuss other payment options**…" (*my emphasis*)

The above email is also a clear acknowledgement of liability, and by virtue of s 18 of the Act it interrupted the running of prescription and prescription accordingly commenced to run afresh.

[20] There is also no dispute that the respondent further sent WhatsApp messages to the applicant in 2022. In the message of 6 May 2022, he further said:

> "**Can I have local accounts that I can make payments** both usd and Zwl. Zwl at preavail (sic) rate on date of payment." (*my emphasis*)

This again falls to be governed by s 18 of the Act, which provides that an express or tacit acknowledgement of liability interrupts the running of prescription. This acknowledgement above, therefore, made prescription to commence to run afresh. The respondent further made a cash payment of US$5 000.00 on 6 September 2022 towards the same liability. This is common cause. When the court application was served on the respondent on 11 October 2024, it cannot be said that the applicant's entire debt had prescribed and, therefore, extinguished by operation of law.

[21] It is settled that the defence of prescription must be pleaded with precision and specificity. See *Chombo* v *The Partners for the time being of Mtetwa & Nyambirai Legal Practitioners* SC 106/25 at p 12 para 29, where UCHENA JA had this to say:

> "To specifically plead prescription entails that a respondent formally raises it as a special defence in their pleadings, asserting that the applicant's claim is barred due to the passage of a prescribed statutory period. T**his must be done with clarity and precision, as prescription is not automatically applied by the court**; it must be invoked by the party relying on it.
>
> Therefore, the crucial requirement in reliance on a special defence is that the **defence must be expressly raised**, **clearly articulated**, and substantiated with sufficient evidence." (*my emphasis*)

In my opinion, given the interruptions above and that there were indeed periods when the running of prescription commenced afresh, it cannot be accepted that the applicant's claim has fully prescribed and, therefore, is barred. The respondent did not plead that a particular sum of the total claimed had prescribed. In other words, the special plea does not separate the portions of the debt. His plea is that the entire debt or claim has prescribed. That is unsustainable from the facts which are common cause as I found above. To that end, the court cannot divide or sever any portion of the debt, as that is impermissible since that is not the respondent's case. Prescription is strictly a defence invoked by the parties. Parties are also held strictly to what they have pleaded, including the dates specified as the date the debt is alleged to have become due or the cause of action to have arisen. Once that is not sustained from the evidence, the entire defence would collapse. Accordingly, since the applicant's claim in its entirety has not prescribed due to the intervening acknowledgements of liability before all the instalments could be said to have prescribed, the special plea cannot succeed. I, therefore, have no option but to dismiss the point *in limine* of prescription.

DETERMINATION OF THE MERITS OF THE MATTER

[22] The parties' legal practitioners made the following oral submissions:

THE APPLICANT'S SUBMISSIONS

[23] Mr *Mahere* submitted that by and large he abided by the submissions on record. He further argued that this matter pertains to payment of a debt. The parties agreed to vary the terms of payment. The question of novation does not necessarily mean that we conform ourselves to the form but the substance. The substance is clear in the emails from p 17 to the WhatsApp messages at p 28. It was also argued that these email communications between the parties demonstrate that the respondent was aware of the debt and that commitments were made to pay the debt in South African Rand. Payments were effected in United States dollars, the last of

which was made in September 2022 of US$5 000.00. That evidence confirms that the parties agreed to pay in terms of a new payment plan. In para 16 of the opposing affidavit at p 42, as well as para 19, the respondent said that other payments were made. The respondent actually says he has made other payments. Coupled with para 51 of the respondent's heads of argument, this shows that there was no basis for opposing this application.

[24] Counsel further argued that there are no material disputes. The respondent has not discharged the *onus* of proving the existence of those disputes of fact. On the issue relating to interest rate, having agreed to pay the amount and taking steps to comply, the respondent cannot turn around and argue that the interest is illegal. There was no challenge to the interest rate. The respondent should have filed an application for a declarator. He has not done that. There has been a commitment to pay, and payments have been made. The issue of currency is a legal point. The variation of the terms of payment allowed the claim in United States dollars. The applicant's residence must be considered. It was finally submitted that, having exhausted their argument in the written submissions, he prays for an order in terms of the draft. Upon realising that the sum claimed in the draft order was incorrect, Mr *Mehere* sought an amendment of the draft order, in particular para 2, to read US$133 363.56.

RESPONDENT'S SUBMISSIONS

[25] Mr *Mashingaidze* submitted that the obligation arose in 2014 and was expressed in United States dollars. That when S.I. 33/2019 was promulgated, the obligation was denominated in United States dollars and was affected. The applicant argued that it constituted a foreign obligation by virtue of his residence outside Zimbabwe. In para 19 at p 8, the applicant says that he has lived outside Zimbabwe since October 2014. The AOD was signed on 21 May 2014. The applicant became resident outside Zimbabwe in October 2014. It means that in May 2014 the applicant was resident in Zimbabwe. The transaction involved shares of a Zimbabwean company and the AOD was signed at Harare. The applicant's change of residence has no effect on the debt. It does not change the currency. While it is not disputed that he became resident outside, what is disputed is that it changed the nature of the transaction.

[26] It was further contended that a novation changes the agreement completely. Counsel cited the case of *Wadi* v *Mnkandhla &Ors* HB 51/18. A novation occurs where parties abandon the old agreement. In *Kevadar N.O* v *United Harvest (Pvt) Ltd & Anor* HH 734/22, the court made a

distinction between novation and variation of terms. Counsel also stated that an agreement to vary the terms is different from a novation, where a new agreement comes into play. There is no novation; any subsequent payments only give rise to an attempt to vary the terms of payment. The obligation arose prior to 2019 and was affected by S.I. 33/2019. It became one as to one and became payable in RTGS dollars. The fact that parties may have agreed to pay in United States dollars would be unlawful. See *National Oil Infrastructure Company of Zimbabwe* v *AC Controls (Pvt) Ltd & Anor* SC 12/25, where the court held that the agreement by the parties to avoid the law was unenforceable. The court cannot enforce an illegality. The payment in US dollars cannot be granted.

[27] Counsel also submitted that the respondent raised a defence that there are material disputes of fact that relate to the amount due. In terms of the AOD, the parties agreed that the debt would accrue interest at 10% per annum. It is not clear how interest was calculated, and the schedule shows interest calculated on a monthly basis. Counsel, however, accepted that this argument was not based on the pleading from the respondent. It is trite that pleadings perform an important purpose of defining the issues for trial and which the other party has to meet and upon which the court would be called upon to make a determination. One cannot seek to argue a different case from what he or she has pleaded. See *Keavney & Anor* v *Msabaeka Bus Services (Pvt) Ltd* 1996 (1) ZLR 605 (S). Following counsel's concession that there was no plea querying how interest was calculated except its legality, Mr *Mashingaidze* finally submitted that he abided by the written submissions and prays that the application be dismissed.

APPLICANT'S REPLYING SUBMISSIONS

[28] Mr *Mahere* submitted that the question of change of residence by the applicant was accommodated by the parties post 2018 to 2022. He contended that there was an agreement not to have payment in local currency. The court must have regard to the respondent's conduct. This is also the case in *Mabhena* v *Golden Beams Development (Pvt) Ltd* SC 29/23. If the parties agree on how to make the payment after 22 February 2019, it means there is a new arrangement that creates a new agreement. The question is whether the agreement is illegal. It is not illegal. Even before the court, the respondent still wants to make payment. It is incompetent to dismiss the claim entirely because of those commitments.

ISSUES FOR DETERMINATION

[29] The parties' pleadings and the submissions raise three issues for determination which are as follows:

1. Whether or not there are material disputes of fact incapable of resolution on the papers without further evidence?
2. Whether the debt in question is a foreign obligation payable in foreign currency or a local obligation converted into RTGS dollars by the provisions of S.I. 33/2019?
3. Whether or not the agreed interest rate of 10% per annum as per the AOD is lawful and recoverable?

I will proceed to deal with each of these issues.

WHETHER OR NOT THERE ARE MATERIAL DISPUTES OF FACT

[30] Mr *Mashingaidze* maintained that there are material disputes of fact which cannot be resolved without *viva voce* evidence. In his opposing affidavit, the respondent contended that there were further payments he made which were not captured in the applicant's schedule. The applicant, on the other hand, disputed these averments and maintained that the matter is resolved on admitted material facts and that there is no need for any further evidence. The law is clear that a bare allegation that material disputes of fact arise is insufficient. The material facts alleged must have been specifically controverted and traversed to such an extent that the court cannot be able to determine the matter without the aid of further oral evidence. Thus, MAKARAU JP (as she then was) in *Supa Plant Investments (Pvt) Ltd* v *Chidavaenzi* 2009 (2) ZLR 132 (H) at136F aptly said:

> "A material dispute of fact arises when such material facts put by the applicant are disputed and traversed by the respondent in such a manner as to leave the court with no ready answer to the dispute between the parties in the absence of further evidence."

[31] The respondent merely alleged that he made further payments which were not accounted for but did not attach any proof of any alleged payments unaccounted for. A court of law acts on evidence, and not the mere say-so of a litigant. Thus, our law is settled that bald and unsubstantiated allegations do not establish a party's purported or announced position. See *Akhtar* v *Minister of Public Commission* SC 173/97. Simply making bald allegations cannot certainly create material disputes of fact. In this case, the applicant in para 31 of the founding affidavit provided the full schedule of the payments made by the respondent. That schedule of all

payments received by the applicant includes the dates of the payments, the amounts paid, and the balances due. In his opposing affidavit, the respondent opted to make a generalised response in para 18 by addressing para(s) 31-32a-g. He simply made a bare denial and related specifically to the fact that he never acknowledged that the debt is a foreign currency obligation. He further stated that the referenced correspondence does not alter the status of the debt as dictated by law and that the debt remains a domestic obligation payable in any legal tender. There was no specific query as to how the amount was calculated or that it is not clear how interest was calculated. Accordingly, there are no material disputes of fact that arise in this case.

[32] A reading of the pleadings show that most of the material facts regarding how the debt arose, that the respondent signed an AOD which also stated the interest rate of 10% per annum payable on the capital debt for late payments, that the respondent made the stated payments on the stated dates, the conversion rates of the payments made in Rand and the emails and WhatsApp messages between the parties were largely unchallenged. The law is clear that no evidence is required to establish admitted facts. Admissions bind the maker with the attendant consequences. They cannot be withdrawn except with the leave of the court. No evidence may also be led to disprove the admitted facts. Given that most of the material facts are admitted, it cannot be said that there are material disputes of fact requiring the leading of further evidence to resolve.

[33] The argument in para 9 of the opposing affidavit that the interest ought to have been computed and accrued at the rate of 5% per annum instead of 10% is clearly a matter of law. It requires no further oral evidence since it is common cause that in terms of clause 2 of the AOD, which the respondent admitted to have signed and which he did not challenge, the agreed interest rate for late payments is 10% per annum. Whether or not this can be enforceable is answered by the law. There is no basis for the argument that this matter cannot be determined in the absence of further *viva voce* evidence. I, therefore, do not find any material disputes of fact which cannot be resolved in the absence of further evidence.

WHETHER THE DEBT IS A FOREIGN OBLIGATION OR LOCAL OBLIGATION AFFECTED BY S.I. 33/2019

[34] The applicant claims the sum of US$133 363.56, which he alleges is due and payable in foreign currency. Mr *Mahere* argued that the debt is a foreign obligation and was not affected by

the statutory decree effected by S.I. 33/2019 whose provisions were further incorporated into the Finance (No.2) Act, 2019. The respondent on the other hand, contends that the debt is a domestic obligation which was affected by the law and was converted into RTGS dollars at the parity rate and that the claim for a debt in United States dollars is incompetent or contravenes the law.

THE LAW

[35] Section 4 of the Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars)) Regulations 2019 (S.I. 33/2019) amended the Reserve Bank of Zimbabwe Act [*Chapter 22:15*] (*"the principal Act"*) by the insertion of a new s 44C with effect from 22 February 2019 (*"the effective date").* The relevant provisions of s 4 of S.I. 33/2019 state as follows:

> "4(1) For the purposes of section 44C of the principal Act as inserted by these regulations, the Minister shall be deemed to have prescribed the following with effect from the date of promulgation of these regulations ("the effective date")—
> (a) …
> (b) …
> (c) …
> (d) that, for accounting and other purposes, **all** assets and **liabilities that were, immediately before the effective date, valued and expressed in United States dollars (other than assets and liabilities referred to in section 44C(2) of the principal Act) shall on and after the effective date be deemed to be values in RTGS dollars at a rate of one-to-one to the United States dollar**; and
> (e) that after the effective date any variance from the opening parity rate shall be determined from time to time by the rate at which authorised dealers under the Exchange Control Act exchange the RTGS Dollar for the United States dollar on a willing-seller willing-buyer basis." (*my emphasis*)

[36] The same S.I. 33/2019 under s 3(1) thereof further provided for the assets and liabilities exempted from the provisions of s 4(1)(d) under the inserted s 44C(2) of the principal Act as follows:

> "(2) The issuance of any electronic currency **shall not affect or apply in respect of—**
> (a) funds held in foreign currency designated accounts, otherwise known as "Nostro FCA accounts", which shall continue to be designated in such foreign currencies; and
> (b) **foreign loans and obligations denominated in any foreign currency, which shall continue to be payable in such foreign currency**." (*my emphasis*)

The provisions of s 4(1)(d) of S.I. 33/2019 were further re-enacted with retrospective effect in the Finance (No. 2) Act, 2019, in particular, under s 22(1)(d). As for the provisions exempting assets and liabilities from the deeming provisions provided under s 3(1) of S.I. 33/2019, which inserted the new s 44C(2) of the principal Act, they were re-enacted under s 21(1) of the Finance (No. 2) Act, 2019.

[37] The law is now settled that for any assets and liabilities to be affected by the provisions of s 4(1)(d) of S.I. 33/2019 their values should have been expressed in United States dollars immediately before 22 February 2019. If the value of such assets and liabilities is not yet assessed, the provisions of s 4(1)(d) would be inapplicable. Further, the provisions would also not be applicable if the asset or liability falls under the class of such assets and liabilities exempted under s 44C(2). This legal position was enunciated in *Zambezi Gas Zimbabwe (Pvt) Ltd* v *N R Barber (Pvt) Ltd & Anor* 2020 (1) ZLR 138 (S) at 144E, where MALABA CJ (as he then was) held that:

> "In interpreting s 4(1)(d), regard should be had to assets and liabilities which existed immediately before the effective date of the promulgation of S.I. 33/19. The value of the assets and liabilities should have been expressed in United States dollars immediately before 22 February 2019 for the provisions of s 4(1)(d) of S.I. 33/19 to apply to them.
>
> Section 4(1)(d) of S.I. 33/19 would not apply to assets and liabilities, the values of which were expressed in any foreign currency other than the United States dollar immediately before the effective date. If, for example, the value of the assets and liabilities was, immediately before the effective date, still to be assessed by application of an agreed formula, s 4(1)(d) of S.I. 33/19 would not apply to such a transaction even if the payment would thereafter be in United States dollars. **It is the assessment and expression of the value of assets and liabilities in United States dollars that matters**.
>
> Section 4(1)(d) of SI. 33/19 is specific as to the type of assets and liabilities that are excluded from the reach of its provisions. The origin of the liabilities is not a criterion for exclusion. …**What brings the asset or liability within the provisions of the statute is the fact that its value was expressed in United States dollars immediately before the effective date and did not fall within the class of assets and liabilities referred to in s 44C(2) of the Reserve Bank of Zimbabwe Act** [*Chapter 22:15*] ("the principal Act")." (*my emphasis*)
>
> At 145F-146C, the court further held that:
>
> "The phrase "immediately before" means that the liability should have existed at a date before the effective date and that such liability should have been valued and expressed in United States dollars. The issue of the time-frame within which the liability arose in relation to the effective date of 22 February 2019 does not matter. **What is of importance is the fact that the liability should have been valued before the effective date in United States dollars and was still so valued and expressed**.
>
> …Section 4(1)(d) of S.I. 33/19 provides that all assets and liabilities that were valued and expressed in United States dollars immediately before the effective date shall "on and after" the

> effective date be deemed to be values in RTGS dollars at a rate of one-to-one to the United States dollar. …**The values referred to in s 4(1)(d) of S.I. 33/19 show that after a one-to-one conversion the RTGS dollar takes the value and character of the United States dollar**. The effect of the phrase "on and after" is that the conversion of the values of "all assets and liabilities" which were valued and expressed in United States dollars immediately before the effective date to values in RTGS dollars at a rate of one United States dollar to one RTGS dollar would apply at the time the value of the asset or liability is liquidated or discharged. Assets and liabilities covered by s 4(l)(d) of S.I. 33/19 are of a *sui generis* nature. **They accrue immediately before the effective date and continue to exist after the effective date**." (*my emphasis*)

APPLICATION OF THE LAW TO THE FACTS

[38] The dispute between the parties in respect of the second issue centres on whether the debt or obligation in question is one which was exempted by s 44C(2) of the principal Act as amended by S.I. 33/2019. In particular, the question is whether it is a foreign obligation that is dischargeable in foreign currency, or a local obligation that was converted into RTGS dollars in terms of S.I. 33/2019 at the rate of one-to-one to the United States dollar. The further question that arises is whether the parties' agreement to vary the terms of payment and subsequent communications would entail a foreign obligation, even if it is found that the debt had been affected by S.I. 33/2019. It is clear that, in terms of s 44C(2), foreign loans and obligations were not affected by the conversion into RTGS dollars at the parity rate at the effective date. These remain valued and payable in foreign currency as they were excluded from the operation of the deeming provisions.

[39] The law did not, however, define the term "foreign loans and obligations denominated in any foreign currency". In *Breastplate Service (Pvt) Ltd* v *Cambria Africa PLC* SC 66/20 at p 7, PATEL JA (as he then was) had this to say as to how this term ought to be defined:

> "The term "foreign loans and obligations denominated in any foreign currency", as it appears in s 44C(2) of the Reserve Bank Act, is not defined in S.I. 33 of 2019 or in any other relevant legislation that I am aware of. **Its meaning in any given case must be ascertained from the factual circumstances of the parties involved and the material substance of the transaction that they have entered into**." (*my emphasis*)

The approach to ascertain the meaning of the term "foreign loan and obligations denominated in any foreign currency" set out in the *Breastplate* case (*supra*) was endorsed in *Mushayakurara* v *Zimbabwe Tobacco Company (Pvt) Ltd* SC 108/21 at p 6.

[40] In the factual circumstances of this matter, the status of the applicant in this country at the relevant time and the nature of the transaction between the parties related to the AOD are easily

ascertainable. The relevant facts thereof are largely common cause. Thus, whether the debt in question is a foreign loan and obligation or a local obligation can be resolved from the admitted facts. There is no dispute that the obligation arising from the AOD stems from the sale of shares or equity by the applicant to the respondent in a Zimbabwean company, Powervision (Private) Limited, on 21 May 2014 in Zimbabwe. The respondent assumed the liability to pay the debt by signing the AOD on the same date. The status of the applicant at the time of that transaction and the signing of the AOD is also common cause. He was resident locally or in the country, and the AOD was signed at Harare.

[41] There is no dispute that the applicant only became resident outside Zimbabwe from October 2014. This is also confirmed in his founding affidavit in para 19. He also attached a residence permit thereof issued by the Nigerian Immigration Service on 15 October 2014. That the applicant assumed foreign residence well after the transaction was concluded and the AOD signed would not alter the nature of the transaction, that it was clearly a local transaction. The AOD was unquestionably a local transaction as it also further provided for payment of the debt in instalments locally in clause 3 thereof by the respondent, and was a contract between the two parties who were also resident in the country at the relevant time. What the parties intended and what they transacted without doubt gave rise to a local obligation. This is quite the opposite in *Breastplate* (*supra*), where at pp 9-10 the court found as follows:

> *"In casu*, it is abundantly clear that the respondent is neither incorporated in Zimbabwe nor does it have its head office or principal place of business in Zimbabwe. By virtue of the Companies Act as read with the Exchange Control Regulations, i**t is quite evidently a non-resident foreign entity operating in Zimbabwe**. As regards the transaction between the parties, it is not in dispute that **what was sold by the respondent to the appellant was its entire share capital in a foreign company located in a foreign country, namely Zambia**. In short, a foreigner sold a foreign asset to a local company. The asset consisted of shares in a foreign company that could presumably be sold abroad for foreign currency or, at any rate, in any currency other than the currency of Zimbabwe. **What the parties intended and what they transacted unquestionably gave rise to a foreign obligation**.
>
> In my view, it was not the intention behind S.I. 33 of 2019 to strike at an obligation of the kind involved in this case. Section 44C(2)(b) of the Reserve Bank Act, as inserted by s 3(1) of the 2019 Regulations, makes it clear that the issuance of any electronic currency, *i.e.* RTGS dollars, shall not affect or apply to any foreign obligation. This is reinforced by **s 4(1)(d) of the Regulations which explicitly excludes foreign obligations valued and expressed in United States dollars from the deemed parity valuation in RTGS dollars**.
>
> To conclude on this aspect, the currency of payment intended by the parties was United States dollars. Moreover, **the obligation incurred by the appellant was a foreign obligation denominated in foreign currency** within the contemplation of S.I. 33 of 2019. That obligation

> therefore continued to be payable in foreign currency, even after the effective date, *i.e.* 22 February 2019." (*my emphasis*)

[42] Since the obligation arising from the AOD which the applicant seeks to enforce was a local or domestic obligation, it is not such "foreign loan and obligation" which was excluded from the operation of s 4(1)(d) of S.I. 33/2019 or that which would continue to be valued and payable in foreign currency after 22 February 2019. The debt was clearly valued and expressed in United States dollars immediately before the effective date. The assessment and expression of the liability in United States dollars brought it within the provisions of the law for conversion on the parity rate. See *Zambezi Gas* (*supra*). Accordingly, the debt was converted by the deeming effect of s 4(1)(d) of S.I. 33/2019 into RTGS dollars at the rate of one-to-one to the United States dollar. It being a local obligation as at the effective date, so valued and expressed in United States dollars, it was not exempted by the provisions of s 44C(2)(b) of the principal Act. Having been converted by operation of the law, it remains legally so valued and accordingly legally due and payable in RTGS dollars. The claim for the debt in United States dollars would thus be legally incompetent.

[43] The conduct of the parties after the effective date does not change the currency of the debt as it has already been converted by operation of law. As I have already noted, the applicant did not plead a case founded on a novation. In other words, his claim is not founded on a new agreement but still founded on the obligation arising from the 2014 AOD. There is indeed a difference between simply varying the terms of an agreement and novation. A variation would simply be an agreement to modify the terms of a contract, with the parties intending the existing contract to retain its legal effect, but a novation involves the parties doing away with the existing contract altogether and replacing it with a new one. This position was clarified in *Kewada N.O* v *United Harvest (Pvt) Ltd & Anor* (*supra*) at p 7.

[44] The respondent's liability was valued and expressed in United States dollars on 21 May 2014 when the AOD was signed. It remained so expressed and valued immediately before the effective date, 22 February 2019. It was deemed to be in RTGS dollars at the parity rate of one-to-one as at that date. The respondent's position is akin to that of the respondent in *Barmlo Construction (Pvt) Ltd* v *Chivavaya* SC 73/23 at p 11 where the court analysed a similar contractual liability and made the following remarks:

> "…in terms of the Finance (No.2) Act, liability arises where there is an obligation, which may be financial, on a party whether in terms of a contract or an order of court. **It is axiomatic that when the contract between the parties was executed in May 2018, the respondent's liability to the appellant came into existence.** This is so because the total value of the respondent's liability for the services that were going to be rendered by the appellant was actually valued and expressed in May 2018 when the contract was consummated. **Consequently, when S.I. 33 of 2019 came into force on 22 February 2019, the value of the respondent's liability, which had been expressed in US dollars, was by dint of the deeming provisions, converted to RTGS by operation of law**. Corollary, when the Finance (No.2) Act was promulgated, with retrospective effect, on 21 August 2019, that deeming provision affected the liability as from the first effective date. **Thus, as at 22 February 2019 the liability was deemed to be in RTGS dollars on a rate of one-to-one.**" (*my emphasis*)

[45] The conduct of the parties after the conversion of the debt into RTGS dollars by operation of law or what the applicant argued was a variation of the terms of the payment and payment of the debt in foreign currency after the effective date does not change the law. That the parties continued to transact in foreign currency or that the respondent agreed to continue paying the debt in foreign currency does not give any legality to the payments thereof or the agreement. The agreement would still be illegal for being contrary to statutory provisions. Such conduct cannot alter the effect of the statutory deeming provision and would constitute an illegality. Parties cannot disregard the law. The position was well canvassed in *Barmlo Construction* (*supra*) at pp 12-13, where also the parties continued to transact in United States dollars even after the operation of the deeming provision of s 4(1)(d) of S.I. 33/2019 and s 22(1)(d) of the Finance (No. 2) Act, 2019. CHITAKUNYE JA affirmed the legal position succinctly as follows:

> "The position of the law was aptly stated in *Temprac Investments (Pvt) Ltd* v *Nu Aero (Pvt) Ltd & Anor* HH 678-19 at p. 2, as follows:
> 'The fact that the parties had in their agreement prescribed that payment would be made into the creditors preferred FCA does not alter the effect of the law on all obligations which were expressed in the United States dollar. That portion of the agreement must be read in the light of and in compliance with the requirements of the law. To the extent that the RTGS dollar cannot be paid into an FCA that portion of the acknowledgement of debt must be deemed to be of no legal effect. Any contract or term thereof must be read subject to the express provisions of a law which affects its performance.' (underlining for emphasis) See also *Exodus & Company (Pvt) Ltd* v *Shavi* HH 510-21.
> **It, therefore, matters not that the parties had continued payments for the construction work in US dollars after the promulgation of S.I. 33 of 2019 and later Finance (No. 2) Act**. The moment the parties continued to treat the respondent's liability as being valued and expressed in United States dollars after the first effective date, **they were acting contrary to the provisions of the law**. **Their conduct did not have the effect of reversing or annulling the deeming provision**.
> It is apposite to point out that after the promulgation of SI 33 of 2019 on 22 February 2019, on 24 June S I 142 of 2019, whose effect was to make the Zimbabwe dollar currency the only legal

> tender, was enacted. Thereafter on 27 September 2019 Statutory Instrument 212 of 2019, The Exchange Control (Exclusive use of Zimbabwe dollar for Domestic Transactions) Regulations 2019, was promulgated. Statutory Instrument 212 of 2019 expressly prohibited the payment or receipt of any currency other than the Zimbabwe dollar, as price or consideration payable or receivable in respect of any domestic transaction. **If, therefore, parties decided to contravene the law it is something this court cannot endorse. It is trite that the courts will not enforce contracts that are tainted by illegality and performed contrary to the law**. See *Silonda* v *Nkomo* SC 6-22." (*my emphasis*)

[46] The above legal principles were further restated in *National Oil Infrastructure Company of Zimbabwe* v *AC Controls (Pvt) Ltd & Anor* (*supra*), where the parties had signed an addendum to their agreement after the effective date, purporting to provide for payment in terms of the pre-February 2019 contractual obligations in United States dollars. The Supreme Court, however, following the case of *Barmlo Construction* (*supra*), held that:

> "As such, the amount was payable in local currency at the rate of one to one. **The fact that the contract catered for how the money was to be paid does not detract from the need to comply with the law for payment to be effected. It is a settled principle of law that a contract contrary to statute law is illegal**. In this case the contract was lawful, and payment of the debt had to be within the confines of the law." (*my emphasis*)

The court went on to conclude as follows:

> "The effect of these addenda was to cater for the change in the economic policy of the country. The clauses cited above clearly show that **the parties appreciated that since their contract was denominated in United States Dollars, they had to conform with the law of the country**. **In so doing, the parties ought to have been guided by SI 33 of 2019 in relation to the payment of the debt**. A finding contrary to the import of SI 33 of 2019 as made by the arbitrator and confirmed by the court *a quo* amounted to a departure from the law. It would only lead to uncertainty and selective adoption of the Statutory Instrument. The finding that the debt had to be settled in United States Dollars in clear defiance of SI 33 of 2019 was contrary to public policy, and it had the effect of hurting the concept of justice in Zimbabwe. In that regard, the court *a quo* erred by upholding and confirming the arbitral award." (*my emphasis*)

[47] The argument that the respondent's conduct confirmed his agreement to pay the debt in United States dollars, when it had already been converted into local currency by the deeming statutory provisions, would not assist the applicant. The law is fully applicable, and the parties' conduct and agreement must conform to the provisions of the applicable law. Anything done contrary to the provisions of a statute is illegal and, therefore, *void ab initio*. Nothing can flow from a nullity.

[48] Mr *Mahere* referred the court to the case of *Mabhena* v *Golden Beams Development (Pvt) Ltd* (*supra*) claiming it supports the applicant's case. It does not. That case is clearly distinguishable from the applicant's case. It involved the parties entering into a Deed of Settlement after the effective date in November 2019, novating a court order which was issued in 2018. The court, per CHIWESHE JA at pp 5-6, held as follows:

> "…the parties entered into the Deed of Settlement dated 13 November 2019. The Deed of Settlement was a novation, creating new obligations and a new cause of action that eclipsed the court order of 26 February 2018. More importantly, the Deed of Settlement fell outside the cut-off date of 22 February 2019 and the obligations thereof could not have been the subject of the provisions of S.I 142/19 as read with S.I 213/19 and S.I 33/19, in terms of which the debt could have been extinguished in the RTGS currency at the rate of 1:1. See *Zambezi Gas* v *N.R. Barber SC 3/20.*
>
> It is trite that parties have the latitude to vary a court order by way of a Deed of Settlement. **Once a Deed of Settlement is at hand its effect is to compromise the court order which ceases to regulate the relationship between the parties**. In other words, the court order falls away. See *Kempen* v *Kempen* SC 14/16.
>
> We conclude therefore that the Deed of Settlement entered into after the cut-off date does not fall within the purview of the statutory provisions under consideration. The deed cannot therefore be held to have been void *ab initio* for contravening the provisions of S.I 33 of 2019." (*my emphasis*)

[49] In *Mabhena* (*supra*), the other party was seeking to enforce the Deed of Settlement. In this case, the applicant did not plead a novation and is not seeking to enforce any new agreement. His case is one for the enforcement of a 2014 AOD. It was merely the parties' conduct which sought to vary the terms of payment in respect of the original contract or the AOD. While there were some continued acknowledgements of liability even after 22 February 2019, the applicant is not seeking to enforce those or what he could say is a new agreement which replaced the old agreement, being the AOD. Accordingly, there being no case made by the applicant for novation or that the applicant does not seek to enforce a new agreement, it follows that the decision in *Mabhena* (*supra*) would be inapplicable.

[50] The applicant's case accordingly does not fall into the category of a claim based on a novation or a compromise. While Mr *Mahere* at the hearing sought to argue that there was a novation, the applicant's case stood as pleaded in the founding affidavit. It is only the facts stated in the founding affidavit that the respondent was called upon to deny or affirm. It is thus settled that an applicant stands or falls by his founding affidavit and the facts alleged therein. This principle is well established in a plethora of cases: See *Movement for Democratic Change* v

Minister of Justice, Legal and Parliamentary Affairs & Ors 2007 (2) ZLR 1 51; *Austerland Pvt Ltd* v *Trade and Investment Bank Ltd & Ors* SC 92/05 at p 8 and *Chironga & Anor* v *Minister of Justice, Legal & Parliamentary Affairs & Ors* CCZ 14/20 at p 8. The respondent's liability in the circumstances was affected by the deeming provisions of s 4(1)(d) of SI 33/219 as further incorporated under s 22(1)(d) of the Finance (No. 2) Act. It is only payable in RTGS dollars at the rate of one-to-one to the United States dollar by operation of law. This makes the present claim legally unsustainable. The applicant cannot competently seek to recover the debt in foreign currency in the circumstances. The claim cannot succeed.

[51] The resolution of the second issue against the applicant makes the determination of the third issue of interest unnecessary. I must terminate the enquiry accordingly.

[52] As regards costs, while the respondent prayed for costs on a legal practitioner and client scale, such prayer was not motivated. Punitive costs are not granted lightly or granted simply because the other party has requested them. The respondent's written submissions on the question of costs were that there is no justification for punitive costs to be awarded against him. The entirety of the respondent's submissions did not justify why such costs ought to be visited on the applicant if his application is unsuccessful. I did not find any exceptional circumstances justifying an award of punitive costs in this matter. I will accordingly apply the general rule that costs should follow the cause.

DISPOSITION

[53] In light of the foregoing, I find the application to be without legal merit. The application ought to be dismissed.

[54] In the result, it is ordered that:

The application be and is hereby dismissed with costs.

DEMBURE J: ……

Gill, Godlonton & Gerrans, applicant's legal practitioners

Muvingi & Mugadza, respondent's legal practitioners